

SANCTIONING PROCEDURE RESOLUTION

From the procedure initiated by the Spanish Agency for Data Protection and based on the following

BACKGROUND

FIRST: As a result of a complaint filed with the Spanish Agency for Data Protection, and noting indications of a possible breach of the regulations within the scope of the Agency's competencies, actions were initiated under file number EXP202205067. The complaint was accepted for processing on July 13, 2022.

SECOND: The General Sub-Directorate for Data Inspection proceeded to carry out preliminary investigative actions to clarify the facts in question, by virtue of the investigative powers granted to control authorities under Article 57.1 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and in accordance with the provisions established in Title VII, Chapter I, Section Two, of the aforementioned Organic Law 3/2018, of December 5, on Personal Data Protection and Guarantee of Digital Rights (LOPDGDD hereinafter).

In the framework of the investigative actions, a request for information was sent to TELEFÓNICA DE ESPAÑA, S.A.U. (hereinafter, TELEFÓNICA) with NIF A82018474, regarding the complaint indicated in the first section, requesting that within ten working days, it submit to this Agency the information and documentation specified therein. The request, registered for dispatch on August 24, 2022, was notified in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP) and was received by TELEFÓNICA on August 29, 2022, as evidenced by the acknowledgment of receipt in the file.

THIRD: On September 1, 2022, and with entry registration number REGAGE22e00037680661, TELEFÓNICA requested an extension of the deadline, which was granted.

FOURTH: On September 12, 2022, and with entry registration number REGAGE22e00039606327, TELEFÓNICA submitted a document providing information about the contracts held with the complaining party but, regarding the requested information concerning the company SERVIGUIT SERVICIOS 1970, S.L., it responded:

"This party understands that, in accordance with applicable regulations, since it is a legal entity that would be outside the scope of application of data protection legislation, the requested information is not provided."

FIFTH: On September 15, and with number REGAGE22s00040312444, a new request for information was registered for dispatch, requiring TELEFÓNICA to submit to this Agency the information and documentation specified therein within fifteen working days. The request was notified in accordance with the rules established in the LPACAP and was received by TELEFÓNICA on September 19, 2022, as evidenced by the acknowledgment of receipt in the file.

SIXTH: On October 10, 2022, and with entry registration number REGAGE22e00045105355, TELEFÓNICA submitted a document providing the requested information about the natural person required but, regarding the rest of the requested information, it responded again:

"This party understands that, in accordance with applicable regulations, since it is a legal entity that would be outside the scope of application of data protection legislation, the requested information is not provided."

SEVENTH: On October 18, 2022, and with number REGAGE22s00046478505, another request for information was registered for dispatch, requiring TELEFÓNICA to provide the signed authorization of the complaining party for the direct debit of bank receipts in its account number within five working days. The request was notified in accordance with the rules established in the LPACAP and was received by TELEFÓNICA on October 24, 2022, as evidenced by the acknowledgment of receipt in the file.

EIGHTH: On October 31, 2022, and with entry registration number REGAGE22e00048909268, TELEFÓNICA submitted a document in which, regarding the request made for the signed authorization of the complainant for the direct debit of bank receipts in its account number, once again responded with the following text:

"This party understands that, in accordance with applicable regulations, since it is a legal entity that would be outside the scope of application of data protection legislation, the requested information is not provided."

NINTH: On May 11, 2023, and with number REGAGE23s00030148311, another request for information was registered for dispatch, requiring TELEFÓNICA to provide information on whether SERVIGUIT SERVICIOS 1970, S.L. provided the account number belonging to the complaining party for the direct debit of payments for its telephone line, at the time of registration or at any later time. The request was notified in accordance with the rules established in the LPACAP and was received by TELEFÓNICA on May 16, 2023, as evidenced by the acknowledgment of receipt in the file.

TENTH: On May 23, 2023, and with entry registration number REGAGE23e00032672171, TELEFÓNICA submitted a document in which it indicates that:

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"Once our systems were reviewed, the company SERVIGUIT SERVICIOS 1970, S.L. had associated the bank account XXXX XXXX XX XXXXXXXXXXXX for the payment of its Telefónica invoices between the date of service activation, October 19, 2021, and February 10, 2022, at which point it was modified to a new bank account."

ELEVENTH: On May 24, 2023, and registration number REGAGE23s00033015963, another request for information was sent out for TELEFÓNICA to confirm two matters within a period of five business days:

1. That SERVIGUIT SERVICIOS 1970, S.L. requested the activation of the service.
2. That SERVIGUIT SERVICIOS 1970, S.L. provided the account number belonging to the claimant for the direct debit of payments for their telephone line.

The request was notified in accordance with the rules established in the LPACAP and was received by TELEFÓNICA on May 29, 2023, as evidenced by the acknowledgment of receipt in the file.

In the absence of a response after the legally established deadline, the request was reiterated on June 7, 2023, with outgoing registration number REGAGE23s00036562018. The request was notified in accordance with the rules established in the LPACAP and was received by TELEFÓNICA on June 12, 2023, as evidenced by the acknowledgment of receipt in the file.

TWELFTH: On June 19, 2023, and incoming registration number REGAGE23e00039619204, TELEFÓNICA submitted a document in which it again stated that SERVIGUIT SERVICIOS 1970, S.L. requested the activation of the service and, regarding the second matter, it limited its response to stating that it had associated the bank account belonging to the claimant for the payment of its Telefónica invoices between the date of service activation, October 19, 2021, and February 10, 2022, at which point it was modified to a new bank account.

THIRTEENTH: Regarding the requested information, TELEFÓNICA has not confirmed whether SERVIGUIT SERVICIOS 1970, S.L. provided the account number belonging to the claimant for the direct debit of payments for their telephone line.

FOURTEENTH: TELEFÓNICA DE ESPAÑA, S.A.U. is part of the TELEFÓNICA group, which has an annual global business volume of 39,993 million euros, according to the financial results published by the entity itself in its annual report for the fiscal year 2022.

FIFTEENTH: On July 27, 2023, the Director of the Spanish Agency for Data Protection decided to initiate sanctioning proceedings against TELEFÓNICA, in accordance with the provisions of Articles 63 and 64 of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), for the alleged infringement of Article 58.1 of the GDPR, classified under Article 83.5 of the GDPR Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR).

SIXTEENTH: The aforementioned initiation agreement was received by TELEFÓNICA on July 31, 2023, as evidenced by the acknowledgment of receipt in the file.

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SEVENTEENTH: On August 2, 2023, an entry was registered, with number REGAGE23e00052393299, in which TELEFÓNICA requests an extension of the initially granted deadline for the submission of allegations.

This Agency agreed to extend the deadline for submitting allegations by a maximum of five days, counted from the day following the end of the first deadline for allegations.

EIGHTEENTH: On August 22, 2023, and with entry registration number REGAGE23e00056387234, TELEFÓNICA submits a written statement of allegations in which it expresses, first of all, its total disagreement with the initiation of the present sanctioning procedure and with what is established both in the Facts and in the Legal Grounds set forth in the Initiation Agreement.

Specifically, TELEFÓNICA states that, while the requests referred to in Facts Second to Eighth were information requests based on the investigative powers granted to the Agency under Article 58 of the GDPR, in those mentioned in Facts Ninth to Twelfth, its “collaboration” was requested, as indicated by the Agency in the aforementioned requests, explicitly stating that “collaboration is requested on your part in order to confirm the involvement of the company SERVIGUIT SERVICIOS 1970, S.L.”

Regarding the assertion in Fact Thirteenth that TELEFÓNICA has not confirmed whether SERVIGUIT SERVICIOS 1970, S.L. provided the account number belonging to the claimant to direct the payments for their telephone line, TELEFÓNICA states that on three occasions and in response to the same information request, it confirmed that it is recorded in its systems as of the date of registration that the company SERVIGUIT SERVICIOS 1970, S.L. had the account number indicated in the claim associated as a payment method.

In relation to this last point, TELEFÓNICA continues, upon reviewing its systems, the initial contract signed by the company in question has not been located, making it impossible to provide the evidence expressly requested by this Agency in this regard, all without prejudice to the fact that this account does appear in its systems associated with the aforementioned company for the domicile of its bank accounts.

TELEFÓNICA considers that it has in no case obstructed or failed to provide information to this Agency to carry out its inspection duties since all requested information that could be provided was sent at all times.

Furthermore, TELEFÓNICA insists that, in its opinion, the request for data about a legal entity would be outside the scope of coverage of the GDPR and outside the competencies attributed to this Agency by Article 58. Nevertheless, it provided all available information regarding the specific case.

TELEFÓNICA also points out that, in the business context, contracts signed between companies usually contain a confidentiality clause that is applicable to the signing entities and that the provision of confidential information to a third party must have a legal basis that justifies such delivery. Despite this and doubting...

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Regarding the legitimacy of the requests for information and collaboration, TELEFÓNICA firmly complied with the information requirements.

As for the Legal Grounds, TELEFÓNICA makes several considerations.

On one hand, TELEFÓNICA states that, in the sanctioning context, for a conduct to be reproachable, it must be typical, unlawful, and culpable. TELEFÓNICA believes that the principle of typicality is being violated since its conduct cannot be subsumed under any of the provisions whose infringement is

alleged, given that it responded to each and every one of the information requests sent by the Agency with the available information.

In this regard, it points out that it cannot be attributed to TELEFÓNICA that it did not indicate whether the legal entity subject to the claim provided a specific piece of information since it does not have the mentioned contract to present it as evidence that would allow for a definitive response to such a request. What it does have, and what was communicated to this Agency, is that the bank account in dispute has been recorded in its systems since the beginning of the contractual relationship with TELEFÓNICA, associated with the account of that legal entity, and that is all the information that can be conveyed regarding the case in question.

Furthermore, TELEFÓNICA does not believe that its conduct can be considered unlawful since it has acted at all times in good faith and with an exclusive belief that excludes any culpability. The unlawfulness of the conduct requires a contradiction between the behavior and the norm infringed. However, although TELEFÓNICA considers that this Agency does not have the legitimacy to request data regarding a legal entity, in the interest of cooperating with the competent authority, it provided the information that is recorded in its systems. In short, TELEFÓNICA believes that the responses would reflect its willingness and good faith to provide all the documentation required by this Agency and that there was never any intention to obstruct inspection efforts.

TELEFÓNICA indicates that the requirement of culpability is also not present in this case since it responded to the information requests made according to the information available at each moment, which demonstrates the absence of intent on its part to withhold information or obstruct inspection efforts, thus excluding the commission of an infringement.

TELEFÓNICA states that its actions exclude intent as a subjective element of the type, “since, according to the jurisprudence of the 3rd Chamber of the Supreme Court, not to mention others in judgment 6573/2001, of November 30, 2004, (...) To appreciate intent, the sanctioning administrative body must consider two fundamental elements: Full awareness of the purpose of infringing the administrative norm and of causing a harmful result to the protected public interests (...).

Thus, paraphrasing the Constitutional Court and the Supreme Court, “objective responsibility cannot be admitted in the sanctioning field of the Administration, requiring the concurrence of deceit or fault.”

In the same sense, the recent

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Judgment of the Supreme Court, Chamber 3, Section 2, dated September 22, 2010, stated: “(...) in line with the interpretation of STC 76/90, of April 26, indicating that even without explicit recognition in the Constitution, the principle of culpability can be inferred from the principles of legality and prohibition of excess (art. 25.1 CE) or from the inherent requirements of the Rule of Law.”

Taking into account the jurisprudential doctrine regarding this matter, in administrative offenses, the subjective element of culpability cannot be disregarded in favor of a system of objective or no-fault liability (for example, Supreme Court rulings of January 12, 1996, June 13, 1997, January 23, 1998, and June 27, 2006), a fact that does not occur in the present case.”

From the above, TELEFÓNICA concludes that its conduct cannot be deemed culpable, and therefore it cannot be held responsible for any administrative infringement.

In this regard, TELEFÓNICA argues, “the ruling 372/2008 of the Administrative Litigation Court 5 of Barcelona requires ‘(...) from the subjective point of view and by virtue of the principle of culpability, that the accused has unequivocally expressed the will not to provide what is requested (...)’.”

Regarding the criteria for the gradation of the sanction, in the event that this Agency does not agree to archive the present sanctioning file, TELEFÓNICA expresses its disagreement with the Initiation Agreement when it states as a circumstance to aggravate the sanction “the evident link between the business activity of the accused and the processing of personal data of clients or third parties (Article 83.2.k of the GDPR in relation to Article 76.2.b of the LOPDGDD).” Thus, to the extent that TELEFÓNICA does not consider that there has been a lack of attention or obstruction of the Agency's

investigative powers, it cannot consider that this aggravating factor raised in the Agreement applies. Furthermore, TELEFÓNICA asserts that this Agency de facto considers that this aggravating factor should be applied given the high volume of data processing it manages, without taking into account that we are dealing with a specific and exceptional case, whereby in any type of infringement that might be decided to impose on TELEFÓNICA, this aggravating factor would always be considered, which is completely disproportionate and lacks any sense, contravening the principles of justice and equity.

Additionally, TELEFÓNICA believes that, since it responded to the requests in accordance with the information it possessed, the premise of intentionality or negligence in the infringement of Art. 83.2 b) GDPR would not apply in this case.

TELEFÓNICA adds that the fact that it has clear procedures and always collaborates with this Agency in the multiple information requests it receives annually, along with the absence of negligence or imprudence in responding to the requests, should be taken into account as a mitigating factor in the event that the present sanctioning file is not archived. In such a case, TELEFÓNICA considers that, moreover, the following mitigating factors should be taken into account:

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“a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the processing operation in question as well as the number of affected parties and the level of damages they have suffered: we are facing a unique and exceptional case that has not caused any harm, which evidences the complete disproportion of the proposed sanction.

f) the degree of cooperation with the supervisory authority in order to remedy the infringement and mitigate the possible adverse effects of the infringement: all requests for information from the AEPD have been responded to, despite this party considering that since it concerns data of a legal entity, it would fall outside the scope of data protection.

j) adherence to codes of conduct under Article 40 or to certification mechanisms approved under Article 42: Telefónica has subscribed to the Self-Regulation Code on data processing in advertising activities, which is an extrajudicial dispute resolution system to resolve controversies arising between citizens and entities adhering to the code regarding data processing carried out in the context of advertising activities.

k) any other aggravating or mitigating factor applicable to the circumstances of the case, such as financial benefits obtained or losses avoided, directly or indirectly, through the infringement: in this case, no type of benefit has been obtained from the commission of the alleged infringement. On the contrary, if the sanction were ultimately imposed, this party would incur an economic loss.”

On the other hand, TELEFÓNICA considers that this Agency does not justify the calculation of the amount of the sanction; it merely mentions that there are aggravating factors related to the volume of data processed, an alleged negligence or intent in its commission, and the lack of a proper procedure for addressing the requirements despite being a large company, something with which TELEFÓNICA does not agree.

Therefore, in TELEFÓNICA's opinion, “the determination of the calculation of the fine deviates from the Judgment of the High Court of Justice of Madrid, dated March 29, 2012, which recalls that the Supreme Court (judgment of March 7, 1996) establishes that in order to respect the principle of proportionality, it is insufficient for the imposed administrative sanction to be within the legally established margins or limits; it is necessary to adjust the sanction imposed to the entity of the infringement committed:

that the discretion granted to the Administration in the imposition of sanctions, within the legally established limits, must be developed by weighing all concurrent circumstances, in order to achieve the necessary and due proportion between the alleged facts and the responsibility required, given that every sanction must be determined in congruence with the entity of the infringement committed and according to a criterion of proportionality that constitutes a normative principle imposed as an

additional precept on the Administration and that reduces the scope of its sanctioning powers, since it is the jurisdictional sphere that is responsible not only for qualifying to subsume the conduct under the legal type but also, by..."

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In parallel reasoning, the adjustment of the sanction to the act committed is necessary, since in both cases the issue involves the application of evaluative criteria in the written norm or inferable from integrative principles of the legal system.

Furthermore, in the same Judgment, it is established that the duty of motivation of administrative resolutions (Article 90 of the LRSP) implies not only justifying the appropriateness of the sanction with the accreditation and explicitness of all elements of the sanctioning type but also a specific motivation that allows justifying why a particular sanction is imposed and not another less severe one also included within the legal range of possible sanctions (or why a certain sanction is not imposed to a lesser extent - in amount or duration).

The requirement for motivation of the imposition of a sanction in an amount greater than the minimum is also deduced from the doctrine of the Constitutional Court, which, although developed for the criminal sphere, is fully transferable to administrative sanctioning law.

In the same vein, the Judgment of the Superior Court of Justice of Valencia dated September 15, 2011, states the following:

(...) taking into account the principle of proportionality, which implies a relationship of adequacy, according to a criterion of justice and equity, between the facts subject to the sanctioning procedure and the determination and intensity of the applicable sanction in accordance with the legal system. The Administration can choose among the different sanctions indicated by the Law for disciplinary offenses, but the principle of proportionality between the offense and the sanction allows for review in the jurisdictional appeal whether this power has been correctly applied by it. This principle has allowed for the evaluation in disciplinary proceedings of factors such as the restoration of the broken social order, the social consideration of the affected community, the background of the accused, their sociocultural environment, the acts committed by them, their significance and relevance, the assessment of their psychological behavioral conditions when committing them, and, when there is an assessment of the facts in the criminal sphere, therefore, it is a criterion frequently employed by the Courts to control the proper exercise of the sanctioning power by the Administration.

As well as considering that the sanctioning power is not discretionary, and this entails that, when a specific infringement has a legally provided list of sanctions, the imposition of a more severe or higher sanction than the one established as minimum must be clearly motivated by stating the specific reasons and circumstances on which the greater malice or negligence taken into account for choosing that greater punishment is based. This is imposed by the prohibition of arbitrariness in Article 9.3 of the Constitution (RCL 1978, 2836) and also the principle of proportionality included in the guarantees of Article 25 of the Constitutional Text.

In conclusion and based on the above, TELEFÓNICA concludes that the proposed sanction lacks motivation and, therefore, is arbitrary, as it has not detailed the criteria followed to specify the amount of the sanction described in the regulations and in the cited jurisprudence. Therefore, it requests this Agency to declare the non-existence of liability and to order the filing of the present sanctioning file.

Furthermore, subsidiarily and in the event that the filing does not proceed,

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TELEFÓNICA requests that the initially proposed sanction be reduced in light of the mitigating factors stipulated in Article 83 of the GDPR.

NINETEENTH: On October 5, 2023, a proposal for resolution was made, proposing that TELEFÓNICA be sanctioned by the Director of the Spanish Agency for Data Protection for a violation of Article 58.1 of the GDPR, classified under Article 83.5 of the GDPR, with a fine of €100,000.00. This proposal for resolution was duly notified to TELEFÓNICA on October 9, 2023, as evidenced by the acknowledgment of receipt in the file.

TWENTIETH: On October 24, 2023, and with entry registration number REGAGE23e00071910096, TELEFÓNICA submitted a written statement of allegations regarding the Proposal for resolution. Firstly, TELEFÓNICA expresses its absolute and total disagreement with the Proposal for resolution and reaffirms each and every one of the allegations presented in the Initiation Agreement, emphasizing once again that it has not violated the current regulations on data protection at any time, since, according to its conduct, it states that it has never obstructed or impeded the inspection work of the Agency and has always provided the information requested to the extent it could provide. TELEFÓNICA reiterates that from the request received on May 16, it was requested in all of them its "collaboration," with the aim of confirming the involvement of the company Serviguit Servicios 1970, S.L.

Furthermore, TELEFÓNICA insists that, in its opinion, the request for data regarding a legal entity would be outside the scope of the GDPR and beyond the competencies attributed to this Agency by Article 58. TELEFÓNICA argues, after citing paragraphs a) and e) of said Article 58, that the functions of this Agency "are restricted, according to Article 57 of the GDPR, to 'monitoring the application of this Regulation,' the object of which, as established in Article 1 of the GDPR, is:

'Article 1

Object

1. This Regulation establishes the rules relating to the protection of individuals with regard to the processing of personal data and the rules relating to the free movement of such data.

2. This Regulation protects the fundamental rights and freedoms of individuals and, in particular, their right to the protection of personal data."

(TELEFÓNICA highlights the words "individuals" in this article).

Additionally, TELEFÓNICA points out that this Agency was requesting collaboration regarding a bank account associated with a legal entity and that, therefore, it cannot be linked to the third-party claimant, since they were not its client.

Therefore, TELEFÓNICA states, the aforementioned bank account would not fall within the definition of personal data as defined by Article 4 of the GDPR:

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"any information about an identified or identifiable natural person ('the data subject'); an identifiable natural person is considered to be any person whose identity can be determined, directly or indirectly, in particular by means of an identifier, such as a name, an identification number, location data, an online identifier, or one or several elements specific to the physical, physiological, genetic, mental, economic, cultural, or social identity of that person" (the underlining is by TELEFÓNICA).

TELEFÓNICA concludes that according to this definition and since, it states, it does not have data about the claiming natural person, the bank account is not a personal data as the data alone does not allow for the identification of a specific natural person.

Regarding whether the bank account can constitute personal data, TELEFÓNICA cites "some analogous cases on which both the Agency itself and the National Court have ruled, specifically regarding telephone numbers, of which it has been determined that:

- In Legal Report 0285/2006, it is indicated that "from the perspective of personal data protection, the telephone number will constitute personal data when it is assigned to the specific holder of it, or is associated with additional identifying data such as the address and is stored with the calling number, in accordance with the definition of personal data included in Article 3.a) of the Organic Law, which encompasses 'any information concerning identified or identifiable natural persons'.

- In the same vein, the Judgment of the National Court, Administrative Litigation Chamber, of September 17, 2008, Administrative Litigation Appeal 353/2007 states that:

“In the present case, the Spanish Agency for Data Protection has not reasoned, and much less has it proven, that through the mobile phone number the holder of it has been identified or that such identification was possible from the said number, so that the said telephone number, devoid of other circumstances that identify or could allow for the identification of the holder, prevents it from fitting into the legal definition of personal data. Therefore, the appeal should be upheld and the contested resolution annulled with the effects derived from such annulment.”

This criterion has been ratified by the National Court in a judgment of March 8, 2002. As cited therein, “for there to be personal data (as opposed to dissociated data), a full match between the data and a specific person is not essential, but it is sufficient that such identification can be made without disproportionate effort” and “to determine whether a person is identifiable, the set of means that can reasonably be used by the data controller or by any other person to identify that person must be considered.”

- The Resolution of Archiving of Proceedings, of October 20, 2008, from the Spanish Agency for Data Protection. File No.: E/00357/2008 establishes that “the concept of personal data, according to the definition of the LOPD, requires the concurrence of a double element: on the one hand, the existence of information or data and, on the other hand,…”

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another, that such data may be linked to an identified or identifiable natural person,” and they recall the Judgment of the National Court of September 17, 2008, which we have already mentioned, and conclude that “applying the aforementioned jurisprudential doctrine to the present case, it results that the published phone numbers cannot be considered personal data as they were not associated with any data that identified their holders or made them identifiable.”

- Finally, the Judgment of the Supreme Court, Third Chamber, Administrative Litigation, Section 3, Judgment 815/2020 of June 18, 2020, Rec. 1074/2019 establishes that “the recording of the voice associated with other data such as the phone number or its availability to other persons who can identify the owner must be considered personal data subject to the regulations on the protection of the automated processing of such data.”

Conversely, according to what the Supreme Court itself indicated, it can be concluded that to the extent that a piece of data is not associated with any other data that allows the identification of clients, it cannot be considered personal data.

In relation to the above, it is also important to note that at the European level it has been concluded that a piece of data can only be considered personal when the third party “has legal means that allow them to identify the interested person thanks to the additional information available to the Internet access provider of that person.” This has been established by the following judgments:

- Judgment of the Court of Justice (Second Chamber) of the European Union of October 19, 2016 (Case C-582/14) which establishes that:

“The article 2, letter a), of Directive 95/46/EC of the European Parliament and of the Council, of October 24, 1995, regarding the protection of natural persons in relation to the processing of personal data and the free movement of such data, must be interpreted in the sense that a dynamic Internet protocol address registered by an online media service provider when a person consults a website that this provider makes accessible to the public constitutes, with respect to that provider, personal data, in the sense of the aforementioned provision, when it has legal means that allow it to identify the interested person thanks to the additional information available to the Internet access provider of that person.”

- In the same vein, the Judgment of the General Court (Eighth Chamber extended) of the European Union of April 26, 2023 (Case T-557/20) states the following:

“Therefore, as the SEPD did not investigate whether Deloitte had legal and practically feasible means

to access the additional information necessary to re-identify the authors of the comments, the SEPD could not conclude that the information transmitted to Deloitte constituted information about an 'identifiable natural person' in the sense of Article 3, point 1, of Regulation 2018/1725."

That is to say, in any case, a piece of data could only be considered personal data for a third party when they had legal means that allowed them to identify the person.

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to identify the interested person thanks to the additional information that the third party had about that person.

Therefore, and for all the above reasons, this party considers that in any case the request from the Agency was outside the scope of its actions because (i) it was requesting data from a legal entity, and (ii) because the data requested cannot be considered personal data, reasons that lead us to assume that the Agency, aware of this, requested the "collaboration" of Telefónica, something that is not usual considering the information requests that, at least, this party has received so far.

And yet, this party, in order to facilitate such "collaboration" with the Agency, provided the requested information.

For this reason, TELEFÓNICA reiterates that it has de facto collaborated at all times with this Agency by providing the information available, and all this despite maintaining its initial thesis that, in its opinion, this Agency lacks the authority to request such information as it falls outside the scope of data protection.

Regarding whether SERVIGUIT SERVICIOS 1970, S.L. provided or not the account number belonging to the claimant to domicile the payments of their telephone line, TELEFÓNICA insists that it conveyed the information it could provide since it could not locate the initial contract signed by the company in question.

Furthermore, TELEFÓNICA states that the request asked for information, whereby "it not only does not require 'confirming' with a 'yes' or 'no' to the request for collaboration, but it also does not require providing the contract. Moreover, since Telefónica did not have the contract, if Telefónica had answered 'yes' or 'no' it would have been untruthful." From this, TELEFÓNICA concludes that "it has responded exactly to what it has been asked, which is nothing more than to provide information about the provision of the bank account."

Regarding the failure to indicate until the allegations phase of the present sanctioning procedure that it did not have the initial contract and that this caused a delay that led to the filing of the investigation proceedings of EXP202205067, TELEFÓNICA indicates that it was never requested to provide the aforementioned contract and that moreover, this Agency could have requested the information directly from the company in question, which has responded, it says, at all times to what has been required in a timely manner and that it is not responsible for the instruction of the procedure, which corresponds exclusively to this Agency, being the Administration's obligation to promote it.

For the reasons stated, TELEFÓNICA considers that it responded to the information requests and that in no case has it obstructed or failed to provide information to the AEPD to carry out its inspection tasks, therefore the present sanctioning file should be archived.

TELEFÓNICA also insists again on the absence of typicality, unlawfulness, and culpability. In this regard, it states that "it has not incurred in the typical action since it has indeed provided the information it had, and therefore, it has neither resisted (it has not forcefully opposed something) nor has it impeded anything. A response was given to..."

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all the issues required by the Agency with the information available to it at all times.

It cannot be claimed, as is done with the initiation of the sanctioning procedure, that this party “confirms” - in fact, if such a request had been made, it would have been indicated that it cannot be “confirmed” - regarding a fact without any doubts, when the contract is not available, as the contrary would constitute falsification.

Therefore, the accusation against Telefónica for the infringement of Article 83.5.e) of the GDPR is unfounded. This party has collaborated and provided the information required by the Agency at all times in accordance with the information available to it, thus not resulting in the typical action, and the present sanctioning file should be archived.

Moreover, it cannot be considered unlawful either. Although this party believes that the Agency does not have the legitimacy to request data concerning a legal entity or data that in this case cannot be considered as “personal data,” this party, in the interest of cooperating with the competent authority, provided the information available in its systems. That is to say, the responses would reflect the willingness and good faith that my client has to provide all the documentation required by the Agency and that in no case was there any intention to obstruct its inspection activities, which we consider to be a sufficient reason for the present procedure to be declared archived without sanctioning Telefónica. In any case, even if the action were considered typical and unlawful, it could not be deemed culpable. In this case, the absence of intent on the part of my client to not provide the information or to obstruct its inspection activities is evident, since responses were given to all requests made by the Agency, which excludes the commission of an infringement.

Telefónica's attitude reveals an unequivocal willingness to act in accordance with the law, with no intention whatsoever to infringe the regulation and with a clear intention to comply. It is a reiterated doctrine that considers the guiding principles of criminal law to be applicable to administrative sanctioning law, indicating that one of the main components of the administrative infringement is the element of culpability, which presupposes that the action or omission must be attributable to its author due to malice, recklessness, negligence, or inexcusable ignorance.

That is to say, it is necessary to establish the culpable involvement of Telefónica, which has not occurred. As long as there is no culpable conduct, no sanction can be imposed. This is referred to in Article 28 of Law 40/2015, which states that “Only individuals and legal entities, as well as, when a law recognizes them the capacity to act, groups of affected parties, unions and entities without legal personality, and independent or autonomous estates, that are responsible for the same due to intent or fault, may be sanctioned for acts constituting an administrative infringement.”

This Law has replaced “simple non-compliance” with “fault,” which implies the recognition that simple non-compliance could not be understood as...

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effectively as the admission in sanctioning administrative law of objective liability. The majority jurisprudence of our Supreme Court (starting from its rulings of January 24 and 25 and May 9, 1983) and the doctrine of the Constitutional Court (after its ruling STC 76/1990) emphasized that the principle of culpability, even without explicit recognition in the Constitution, is inferred from the principles of legality and prohibition of excess (Article 25.1 CE) or from the inherent requirements of a Rule of Law, and requires the existence of intent or fault.

In this sense, for example, the ruling of the Supreme Court of December 16, 2015, states that:

“Specifically, regarding culpability, this Court has declared that, indeed, the Spanish Constitution undoubtedly enshrines the principle of culpability as a basic structural principle of Criminal Law and has added that, however, the constitutional enshrinement of this principle does not imply in any way that the Constitution has turned a specific way of understanding it into a norm (STC 150/1991). This principle of culpability also governs in matters of administrative infractions, since to the extent that the sanction for such an infraction is one of the manifestations of the State's *ius puniendi*, a regime of objective or faultless liability is inadmissible in our legal system (STC 76/1990).”

In conclusion, as long as this element is not fulfilled, a sanctioning procedure should not have been

initiated against Telefónica, and no sanction should be imposed.

TELEFÓNICA argues that the Proposal for resolution violates the principle of proportionality in the imposition of sanctions by not taking into account any of the mitigating circumstances mentioned in the allegations to the initiation Agreement and applying two aggravating factors, without considering, it says, that we are dealing with a specific and exceptional case. Specifically, it states:

“It should be noted that the need for proportionality is detailed, among others, in the ruling of the Supreme Court of June 2, 2003, according to which the principle of proportionality ‘tends to adjust the sanction, by establishing its specific gradation within the possible margins, to the seriousness of the act constituting the infraction, both in its aspect of unlawfulness and culpability, weighing in its entirety the objective and subjective circumstances that integrate the factual basis for sanctionable conduct and, in particular, as results from Article 131.3 of Law 30/92, the intent or repetition, the nature of the damages caused, and recidivism.’”

But the development of this fundamental principle is not limited exclusively to the jurisprudential sphere. National and European legislative bodies have also taken this legal principle into account when configuring data protection regulations, in which we can find multiple references to the principle of proportionality.

Specifically, due to the importance of this legal principle, the General Data Protection Regulation itself introduces it in its Recitals 4, 129, and 148:

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“(4) The processing of personal data must be designed to serve humanity. The right to the protection of personal data is not an absolute right, but must be considered in relation to its function in society and maintain a balance with other fundamental rights, in accordance with the principle of proportionality.”

“(129) The powers of the supervisory authorities must be exercised in accordance with adequate procedural guarantees established in Union Law and the Member States, in an impartial, fair manner and within a reasonable time. In particular, any measure must be appropriate, necessary, and proportionate in order to ensure compliance with this Regulation, taking into account the circumstances of each specific case, respecting the right of all individuals to be heard before any measure that negatively affects them is adopted, and avoiding unnecessary costs and excessive burdens for the affected individuals.”

“(148) In order to strengthen the enforcement of the rules of this Regulation, any infringement of it must be punished with sanctions, including administrative fines, in addition to appropriate measures imposed by the supervisory authority under this Regulation, or in substitution of these. In the case of a minor infringement, or if the fine that would likely be imposed constitutes a disproportionate burden for an individual, a warning may be imposed instead of a fine. However, special attention must be paid to the nature, gravity, and duration of the infringement, its intentional character, the measures taken to mitigate the damages suffered, the degree of responsibility or any relevant prior infringement, the manner in which the supervisory authority became aware of the infringement, compliance with measures ordered against the controller or processor, adherence to codes of conduct, and any other aggravating or mitigating circumstances. The imposition of sanctions, including administrative fines, must be subject to sufficient procedural guarantees in accordance with the general principles of Union Law and the Charter, including the right to effective judicial protection and to a process with all guarantees.”

To these general considerations, which broadly illustrate the interpretative sense with which the GDPR must be analyzed, are added the specific provisions that specifically affect the imposition of administrative fines. Thus, as the Agency rightly points out, the General Data Protection Regulation addresses the general conditions for the imposition of administrative fines in its Article 83. Specifically, the first of the paragraphs of this provision establishes:

“Each supervisory authority shall ensure that the imposition of administrative fines under this article for the infringements of this Regulation indicated in paragraphs 4, 5, and 6 are in each individual case

effective, proportionate, and dissuasive.”

For its part, paragraph 2 establishes that “administrative fines shall be imposed, depending on the circumstances of each individual case, as an additional or substitute measure for the measures provided for in Article 58, paragraph 2, letters a) to h) and j).”

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Regarding "the evident link between the business activity of the defendant and the processing of personal data of clients or third parties (Article 83.2.k of the GDPR in relation to Article 76.2.b of the LOPDGDD)," TELEFÓNICA, in addition to what has been stated in the allegations to the Initiation Agreement, expresses the following:

"In the opinion of this party, the aggravating factor should be taken into account when an act that may constitute an infringement affects a large number of interested parties, and not simply because a Data Controller generally processes a large or 'massive' number of personal data, resulting in the automatic application of the aggravating factor.

Otherwise, any Data Controller that processes a massive number of personal data in their daily activity will find that their conduct is always considered aggravated, which is illogical and contravenes both the principle of the presumption of innocence and the principle of proportionality in the imposition of sanctions.

This position we maintain is corroborated by the European Data Protection Board, which adopted the content of the Guidelines on the application and imposition of administrative fines for the purposes of Regulation 2016/679, established by the Article 29 Working Party on October 3, 2017, which clearly states that the factors provided for in Article 83.2 of the GDPR must be evaluated in a combined manner, that is to say, in what now concerns us, the number of interested parties along with the possible impact on them.

In the same vein, Recital 75 of the GDPR states that to determine the degree of damage that a possible infringement in the area of data protection may cause, it must be taken into account, among other aspects, "that the processing involves a large amount of personal data and affects a large number of interested parties." This means, contrary to the interpretation made by the Agency recurrently, that the aggravating factor should only be applied if the infringement affects many interested parties. That is to say, it must be a combined result of a large amount of data "and" affected persons. Otherwise, instead of an "and," the norm would contain the disjunctive coordinating "or." Therefore, it makes no sense and cannot be legally sustained that merely by having twenty million clients, any infringement committed results in the direct and objective application of aggravating circumstances, when it is clear that this case has nothing to do with the impact on clients. It is evident and notorious that in this case, not only is there no affected client, but the imposed sanction has nothing to do with the data processing carried out by this party in its capacity as the provider of telephone services."

On the other hand, TELEFÓNICA insists again that, as the requirement of intent or negligence in failing to provide the information is not met, the aggravating factors of Article 83.2 b) GDPR and Article 76.2.b) of the LOPDGDD cannot be appreciated, in accordance with the provisions of Article 83.2 k) GDPR.

According to TELEFÓNICA, all the referenced points provide more than sufficient grounds for this Agency to proceed with the reduction of the sanction. But furthermore,

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reiterates, in a subsidiary manner, that if the file is not archived, in any case, it states that the initially proposed sanction should be reduced considering the mitigating factors a) and f) of Article 83.2 of the

GDPR, contrary to the argument of this Agency, it points out, that what is a duty of the data controller cannot be used as a mitigating factor, according to the principle of proactive responsibility established in Article 5.2 of the GDPR. According to TELEFÓNICA, “once again, the error of the Agency is evident in applying by default the aggravating factor of mass data processing in its daily activity, without taking into account the specific case at hand, which is about failing to provide a response to an information request that has nothing to do with data processing.

In this regard, the fine deviates from the criteria established in the Judgment of the Superior Court of Justice of Madrid, dated March 29, 2012, which recalls that the Supreme Court (judgment of March 7, 1996) establishes that:

“the discretion granted to the Administration in imposing sanctions, within the legally established limits, must be exercised by weighing all the concurrent circumstances, in order to achieve the necessary and due proportion between the facts attributed and the responsibility required, given that every sanction must be determined in accordance with the severity of the infringement committed and according to a criterion of proportionality that constitutes a normative principle imposed as an additional precept on the Administration and that reduces the scope of its sanctioning powers, since the jurisdictional sphere is responsible not only for qualifying to subsume the conduct under the legal type but also, for parallel reasons, for adjusting the sanction to the act committed, since in both cases the issue is the application of evaluative criteria in the written norm or inferable from integrative principles of the legal order.”

If we adhere to these criteria, given that we are faced with an exceptional case regarding the possible failure to respond to a request from the Agency which it considered should have been made, and that Telefónica did respond to everything that was requested - despite this party considering that the request is outside the scope of the Agency's action for the reasons stated at the beginning of this document - it is completely evident that the proposed sanction is totally disproportionate to the sanctionable act.

Regarding the mitigating factor of “adherence to codes of conduct under Article 40 or to certification mechanisms approved under Article 42” of Article 83.2.j of the GDPR, against the Agency's argument that its application is not possible in this case, TELEFÓNICA states that “Article 83.2 of the GDPR says nothing about the infringement committed having to be related to the scope of application of the Code of Conduct in question. This interpretation made by the Agency implies an additional specific formality not contemplated in the current regulations, thus contravening the very spirit of the GDPR, which aims to promote self-regulation codes among market actors.

Moreover, this position contradicts and deviates from the Agency's own view on Codes of Conduct and the enormous benefits they entail for companies that adhere to them. In this regard, the Agency's own website...

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Agency (source: ***URL.1) indicates that the Codes of Conduct will be taken into account for the determination of sanctions.”

Regarding the mitigating factor related to “any other aggravating or mitigating factor applicable to the circumstances of the case, such as the financial benefits obtained or the losses avoided, directly or indirectly, through the infringement” of Article 83.2.k of the GDPR, TELEFÓNICA states that the Judgment of the AN, dated 05/05/2021, rec. 1437/2020, with which this Agency argued that the absence of benefits cannot be considered a mitigating factor, “would not apply since Article 83.2 of the GDPR specifies that all the cases indicated can be taken into consideration as 'mitigating' or 'aggravating', and not only as the latter. That is to say, the regulation establishes through the conjunction 'or' that one can choose between one reality or another. Therefore, considering the non-obtainment of benefits only as an aggravating circumstance would contravene the principle of legality by not correctly applying the current regulations.”

In light of all the above, TELEFÓNICA requests that the absence of liability be declared and that the

present sanctioning file be archived, and, subsidiarily, in the event that the archiving does not proceed, that the initially proposed sanction be reduced in virtue of the mitigating factors stipulated in Article 83 of the GDPR.

In view of all the actions taken by the Spanish Agency for Data Protection in the present procedure, the following facts are considered proven,

PROVEN FACTS

FIRST: On September 12, 2022, and October 10, 2022, TELEFÓNICA, regarding the requested information concerning the company SERVIGUIT SERVICIOS 1970, S.L., responds that “it understands that, in accordance with applicable regulations, since it is a legal entity that would be outside the scope of application of data protection legislation, the requested information is not provided.”

SECOND: On October 18, 2022, a request for information is recorded for TELEFÓNICA to provide the signed authorization from the claimant for the direct debit of bank receipts to their account number. On October 31, 2022, TELEFÓNICA responds to this request that “it understands that, in accordance with applicable regulations, since it is a legal entity that would be outside the scope of application of data protection legislation, the requested information is not provided.”

THIRD: On May 11, 2023, TELEFÓNICA is required to provide information on whether SERVIGUIT SERVICIOS 1970, S.L. provided the account number belonging to the claimant for the direct debit of payments for their telephone line, at the time of registration or at any later time. On May 23, 2023, TELEFÓNICA responds to this request that “once our systems have been reviewed, the company SERVIGUIT SERVICIOS 1970, S.L. had associated the bank account XXXX XXXX XX XXXXXXXXXXXX for the domicile of its receipts of C/ Jorge Juan, 6

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Telefónica between the date of registration for the service, October 19, 2021, and February 10, 2022, at which point it was modified to a new bank account.”

FOURTH: On May 24, 2023, TELEFÓNICA was required to confirm whether SERVIGUIT SERVICIOS 1970, S.L. requested the registration of the service and whether SERVIGUIT SERVICIOS 1970, S.L. provided the account number belonging to the claimant to debit the payments for their telephone line. This requirement was reiterated on June 7, 2023. On June 19, 2023, TELEFÓNICA responded to the requirement stating that SERVIGUIT SERVICIOS 1970, S.L. requested the registration of the service and that it had associated the bank account belonging to the claimant for the payment of their TELEFÓNICA bills between the date of registration for the service, October 19, 2021, and February 10, 2022, at which point it was modified to a new bank account.

FIFTH: Regarding the requested information, TELEFÓNICA has not confirmed whether SERVIGUIT SERVICIOS 1970, S.L. provided the account number belonging to the claimant to debit the payments for their telephone line.

SIXTH: The notification of the agreement to initiate the present sanctioning procedure was received by TELEFÓNICA on July 31, 2023.

SEVENTH: TELEFÓNICA has submitted allegations to the agreement to initiate this sanctioning procedure as recorded in the eighteenth antecedent.

EIGHTH: The notification of the proposed resolution of the present sanctioning procedure was received by TELEFÓNICA on October 9, 2023.

NINTH: TELEFÓNICA has submitted allegations to the proposed resolution of this sanctioning procedure as recorded in the twentieth antecedent.

LEGAL GROUNDS

I

Competence

In accordance with the powers granted to each supervisory authority by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and

guarantee of digital rights (hereinafter, LOPDGDD), the Director of the Spanish Data Protection Agency is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states: "The procedures processed by the Spanish Data Protection Agency shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued in its development, and, as long as they do not contradict them, subsidiarily by the general rules on administrative procedures."

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Allegations to the initiation agreement

In response to the allegations presented by the defendant, the following should be noted.

Firstly, regarding TELEFÓNICA's assertion that not all information requests made to it were based on the investigative powers granted to the Agency under Article 58 of the GDPR since some requested its "collaboration," it should be pointed out that in the requests sent to which it refers in its allegations, the following is stated:

"In the framework of the actions carried out by the General Subdirectorate of Data Inspection in order to clarify certain facts of which this Spanish Data Protection Agency has become aware, and in exercise of the powers conferred by Article 58.1 of Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter GDPR), and Article 67 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and guarantee of digital rights (hereinafter LOPDGDD), (...)

Collaboration is requested on your part in order to confirm the involvement of the company SERVIGUIT SERVICIOS 1970, S.L."

Therefore, contrary to what TELEFÓNICA has stated, it was expressly stated that these were information requests based on the investigative powers granted to the Agency under Article 58 of the GDPR.

Secondly, regarding TELEFÓNICA's statement that the request for data about a legal entity would be outside the scope of the GDPR and outside the powers attributed to this Agency by Article 58, the literal wording of paragraphs a) and e) of Article 58.1 of the GDPR should be recalled, with the emphasis of this Agency:

"a) order the controller and the processor and, where appropriate, the representative of the controller or the processor, to provide any information required for the performance of their functions;

e) obtain from the controller and the processor access to all personal data and all information necessary for the exercise of their functions;"

Thirdly, regarding TELEFÓNICA's statement that it has never obstructed or failed to provide information to this Agency to carry out its inspection tasks since it has always sent the requested information that it could provide, it is noted, on the one hand, that TELEFÓNICA responded to the requests of this Agency stating that "in accordance with applicable regulations, as it is a legal entity that would be outside the scope of application of data protection legislation, the requested information is not provided."

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On the other hand, this Agency requested TELEFÓNICA to provide the signed authorization from the claimant for the direct debit of bank receipts in their account number, to provide information on whether

SERVIGUIT SERVICIOS 1970, S.L. provided the account number belonging to the claimant for the direct debit of payments for their telephone line, at the time of registration or at any later time, and to confirm whether SERVIGUIT SERVICIOS 1970, S.L. provided the account number belonging to the claimant for the direct debit of payments for their telephone line.

The response received to these requests was that SERVIGUIT SERVICIOS 1970, S.L. had associated the bank account belonging to the claimant for the direct debit of their TELEFÓNICA receipts between the service registration date, October 19, 2021, and February 10, 2022, at which point it was modified to a new bank account.

In conclusion, TELEFÓNICA has not confirmed whether SERVIGUIT SERVICIOS 1970, S.L. provided or did not provide the account number belonging to the claimant for the direct debit of payments for their telephone line.

Furthermore, until the submission of the allegations to the initiation Agreement of the present sanctioning procedure, TELEFÓNICA did not justify that it could not provide an adequate response to the information requests from this Agency due to the inability to locate the initial contract signed by SERVIGUIT SERVICIOS 1970, S.L., but rather, the lack of response occurred unjustifiably. As indicated, it received at least three requests highlighting that the information provided is insufficient and incomplete, reiterating the request for its provision. Within the obligation to provide all necessary information is the obligation to supply complete responses with all necessary explanations. The conduct displayed by TELEFÓNICA has hindered the actions of this Agency, causing harm to the inspection function, preventing it from proceeding along the most appropriate path to determine the relevant circumstances of the alleged infringement. The delay caused by the reiteration of requests and their corresponding incomplete responses decisively influenced the filing of the investigation proceedings of file EXP202205067, consuming the expiration periods provided for in the LOPDGDD without obtaining results.

Fourthly, regarding the absence of culpability alleged by TELEFÓNICA, it should be noted that, due to the high volume of data processing it manages, it should have robust procedures in place to comply with the obligations set forth in data protection regulations, including responding adequately to the requests of the supervisory authority within the time granted for that purpose.

Certainly, the principle of responsibility provided in Article 28.1 of Law 40/2015, of October 1, on the Legal Regime of the Public Sector, states that: "Only individuals and legal entities may be sanctioned for acts constituting administrative infringements, as well as, when a Law recognizes their capacity to act, the groups of affected individuals, unions, and entities without legal personality and the...

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independent or autonomous assets, which are held responsible for the same due to intent or negligence."

However, according to the ruling in STS 7887/2011 of November 24, 2011, Rec. 258/2009, "(...) since its ruling 76/1990, of April 26, the Constitutional Court has declared that objective or faultless liability does not apply in the realm of administrative sanctions, a doctrine that is reaffirmed in ruling 164/2005, of June 20, 2005, whereby the possibility of imposing sanctions based solely on the result is excluded, without demonstrating a minimum level of culpability even in terms of mere negligence. However, the method of attributing responsibility to legal entities does not correspond to the forms of culpability that are attributable to human conduct, whether intentional or negligent."

Thus, in the case of violations committed by legal entities, although the element of culpability must be present (see the ruling of this Chamber of the Supreme Court of November 20, 2011 (cassation appeal in the interest of law 48/2007), it is necessarily applied differently than it is for natural persons.

According to STC 246/1991 "(...) this different construction of the attribution of authorship of the infringement to the legal entity arises from the very nature of the legal fiction to which these subjects respond. They lack the volitional element in the strict sense, but not the capacity to infringe the norms to which they are subject. The capacity to infringe and, therefore, direct reproachability derives from

the legal interest protected by the norm that is infringed and the necessity for that protection to be genuinely effective and the risk that, consequently, must be assumed by the legal entity that is subject to compliance with that norm.”

To the above, it should be added, following the ruling of January 23, 1998, partially transcribed in STS 6262/2009, of October 9, 2009, Rec 5285/2005, and STS 6336/2009, of October 23, 2009, Rec 1067/2006, that “although the culpability of the conduct must also be subject to proof, it should be considered in terms of the assumption of the corresponding burden, that ordinarily the volitional and cognitive elements necessary to appreciate it are part of the proven typical conduct, and that their exclusion requires demonstrating the absence of such elements, or in its normative aspect, that the diligence required by the party claiming its non-existence has been exercised; in summary, the mere invocation of the absence of fault is not sufficient for exculpation against typically unlawful behavior.” Furthermore, it is important to take into account the provisions in the IV foundation of the resolution of file EXP202205067, which concludes as follows:

“During the preliminary investigation proceedings, information regarding this matter has been repeatedly requested from the telecommunications operator TELEFÓNICA DE ESPAÑA S.A., which has not provided all the required information regarding whether the claimed party was the one who at the time would have provided the claimant’s account number. Without prejudice to the responsibility that may correspond to this company, this has resulted in a lack of information about who and through what means the direct debit was made. Additionally, TELEFÓNICA DE ESPAÑA informs that the claimant had been a previous customer.

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For its part, the respondent party also repeatedly denies having carried out the direct debit. This, combined with the lack of sufficient information regarding the conditions under which such direct debit would have occurred, creates a reasonable doubt about the commission of an infringement by the respondent party.

Consequently, the lack of culpability is dismissed since TELEFÓNICA did not adequately respond to the requests made by this Agency prior to the initiation of the current sanctioning procedure against it, which significantly influenced the resolution to archive file EXP202205067, thereby calling into question the diligence employed.

Fifthly, TELEFÓNICA expresses its disagreement with the aggravating factor included in the Initiation Agreement regarding “the evident link between the business activity of the respondent and the processing of personal data of clients or third parties (Article 83.2.k of the GDPR in relation to Article 76.2.b of the LOPDGGD),” arguing that this aggravating factor would always apply, without considering that it is a specific and exceptional case and, furthermore, the element of intent or negligence in the infringement of Article 83.2 b) GDPR would not be present.

In this regard, it should be noted that this case does not involve a specific error or an isolated mistake that would alone give rise to liability without any wrongdoing or fault on the part of TELEFÓNICA. To deny the occurrence of negligent conduct by TELEFÓNICA would be equivalent to acknowledging that its behavior—by action or omission—has been diligent.

Obviously, this perspective of the facts is not shared, as the lack of due diligence has been established. A large company that routinely processes personal data of its clients, such as TELEFÓNICA, must exercise utmost care in fulfilling its obligations regarding data protection, as established by jurisprudence.

Sixthly, TELEFÓNICA claims that the existence of clear procedures, its collaboration with this Agency, and the absence of negligence or recklessness should be considered as mitigating factors. It also reiterates the arguments previously made regarding sections a) and f) of Article 83.2 of the GDPR. In addition to what has already been rebutted regarding these allegations, it is pointed out that Article 5.2 of the GDPR establishes the principle of proactive responsibility when it states that “The data controller shall be responsible for compliance with the provisions of paragraph 1 and be able to

demonstrate it." This principle refers to the obligation that falls on the data controller not only to design, implement, and observe the appropriate legal, technical, and organizational measures to ensure that data processing is in accordance with the regulations but also to remain actively attentive throughout the entire lifecycle of the processing to ensure that such compliance is correct, being able to demonstrate it as well. Therefore, what is a duty of the data controller cannot be invoked as a mitigating factor.

Seventhly, TELEFÓNICA states that sections j) and k) of Article 83.2 of the GDPR should be considered as mitigating factors. Specifically, that they have...

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subscribed to the Code of Conduct of Self-Regulation and that no benefit has been obtained from the commission of the alleged infringement.

Regarding the Code of Conduct, it cannot be considered as a mitigating factor since the protocol subscribed with Self-Regulation, without prejudice to the competencies of the AEPD, provides mechanisms for the private resolution of disputes related to data protection in the context of contracting and advertising electronic communications services, a fact that has nothing to do with the infringement being processed in this procedure.

Likewise, the absence of benefits cannot be considered a mitigating factor according to the Judgment of the AN, dated 05/05/2021, rec. 1437/2020, which states: "On the other hand, it considers that the non-commission of a previous infringement should be appreciated as a mitigating factor. Well, Article 83.2 of the GDPR establishes that the following circumstance must be taken into account for the imposition of the administrative fine, among others, 'e) any previous infringement committed by the data controller or the processor.' This is an aggravating circumstance; the fact that the budget for its application does not concur means that it cannot be taken into consideration, but it does not imply or allow, as the plaintiff intends, its application as a mitigating factor"; applied to the case under review, the lack of the budget for its application regarding Article 76.2.c) of the LOPDGDD, that is, obtaining benefits as a consequence of the infringement, does not allow its application as a mitigating factor. This criterion of grading is established in the LOPDGDD in accordance with the provisions of Article 83.2.k) of the GDPR, according to which administrative fines will be imposed taking into account any "aggravating or mitigating factor applicable to the circumstances of the case, such as the financial benefits obtained or the losses avoided, directly or indirectly, through the infringement," understanding that avoiding a loss has the same nature for these purposes as obtaining benefits.

If we add to this that the sanctions must be "in each individual case" effective, proportionate, and dissuasive, in accordance with the provisions of Article 83.1 of the GDPR, admitting the absence of benefits as a mitigating factor is not only contrary to the factual premises contemplated in Article 76.2.c), but also contrary to what is established in Article 83.2.k) of the GDPR and to the principles indicated.

Thus, valuing the absence of benefits as a mitigating factor would nullify the dissuasive effect of the fine, to the extent that it diminishes the effect of the circumstances that effectively influence its quantification, providing the responsible party with a benefit to which they are not entitled. It would be an artificial reduction of the sanction that could lead to the understanding that infringing the norm without obtaining benefits, financial or otherwise, will not produce a negative effect proportional to the seriousness of the infringing act.

In any case, the administrative fines established in the GDPR, in accordance with the provisions of its Article 83.2, are imposed based on the circumstances of each individual case and it is not considered that the absence of benefits is an adequate and determining grading factor to assess the seriousness of the infringing conduct. Only in the case that this absence of benefits is relevant to determine the degree of unlawfulness and culpability present in the specific case.

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The infringing action may be considered as a mitigating factor, in application of Article 83.2.k) of the GDPR, which refers to "any other aggravating or mitigating factor applicable to the circumstances of the case."

Finally, TELEFÓNICA considers that the calculation of the amount of the sanction is not justified and that it is arbitrary, as the criteria followed to determine the amount of the sanction have not been detailed.

The requirement for motivation of administrative acts, as noted among others by the Supreme Court ruling of November 19, 2001 (Rec. 6690/2000), has its constitutional basis in the principle of legality established in Article 103 of the Spanish Constitution (CE), as well as in the effectiveness of judicial control over the actions of the Administration recognized in Article 106 CE. Legally, Article 35.1 of Law 39/2015, on the Common Administrative Procedure of Public Administrations, is the provision that specifies the acts that must be motivated.

This requirement responds, according to reiterated jurisprudential doctrine, exemplified by the Supreme Court ruling of July 16, 2001 (Rec. 92/1994), to the purpose of allowing the interested party to know the when, how, and why of what has been established by the Administration, with the necessary breadth for the defense of their rights and interests, also allowing the judicial bodies to know the factual and normative data that enable them to resolve the judicial challenge of the act, in the exercise of their review and control of administrative activity; in such a way that the lack of such motivation or its notable insufficiency, to the extent that they prevent challenging that act with a serious possibility of critiquing the bases and criteria on which it is founded, constitutes a defect of annulability, as it leaves the interested party in a situation of defenselessness.

Motivation of administrative acts, which as noted by the Supreme Court ruling of March 29, 2012 (Rec. 2940/2010, among others), does not require any exhaustive and detailed reasoning, must express the reasons that allow for understanding the essential criteria underpinning the decision "facilitating the interested parties the necessary knowledge to assess the legal correctness or incorrectness of the act for the purposes of exercising the actions of challenge established by the legal system and adequately articulating their means of defense."

Well then, in the present procedure, the lack of motivation cannot be appreciated. A different matter is that TELEFÓNICA legitimately disagrees with such reasoning, but this does not imply the non-existence of sufficient motivation, so neither defenselessness nor arbitrariness in the determination of the amount of the sanction can be appreciated.

For all these reasons, it is not possible to grant TELEFÓNICA's request regarding the non-existence of liability and the filing of this sanctioning file, nor to reduce the sanction initially proposed by virtue of the indicated mitigating factors.

III

Allegations to the Proposal for Resolution

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In response to the allegations regarding the Proposal for Resolution of this file presented by TELEFÓNICA, the following should be noted.

The allegations presented against the Proposal for Resolution of this file largely reproduce the same arguments made against the Initiation Agreement, which have already been addressed by this Agency in the previous Legal Basis, to which reference is now made, except for what is added, completed, or clarified below.

First, it is recalled that, within the framework of file EXP202205067, this Agency agreed to carry out investigative actions regarding the charges received in the bank account of the claimant related to invoices issued by TELEFÓNICA for services billed to the company SERVIGUIT SERVICIOS 1970,

S.L. These actions investigated the possible unlawful processing of personal data of the claimant. During these actions, TELEFÓNICA was repeatedly requested to confirm whether SERVIGUIT SERVICIOS 1970, S.L. provided the account number belonging to the claimant that TELEFÓNICA used to direct debit the payments for their telephone line, a fact that needed to be determined in order to clarify responsibility for the possible violations of the regulations being investigated. The delays caused by the repeated requests and their corresponding incomplete responses decisively influenced the filing of the investigative actions of file EXP202205067, as motivated in its resolution and as extracted in the previous basis, consuming the expiration periods provided for in the LOPDGDD without obtaining results. Furthermore, it should be noted that the lack of response occurred unjustifiably up to the phase of allegations to the Initiation Agreement of the present sanctioning procedure, at which point TELEFÓNICA did allege that it could not provide the requested information due to not having the initial contract signed by the entity.

Regarding TELEFÓNICA's assertion that it considered the request made by this Agency to be outside its scope of competence, given that it concerned information of a legal entity, it should be added to what has already been stated that it is not for TELEFÓNICA to interpret the requests from this Agency, but rather to fulfill its obligation to respond properly by providing the requested information.

On the other hand, no information was being requested whose provision would lead them to incur any type of illegality; rather, the opposite is true, as their lack of response would constitute a violation within the framework of the powers of the Spanish Agency for Data Protection, since they are warned in the request itself that failure to comply could lead to a violation of the GDPR.

Moreover, this Agency does not have to explain why it needs or does not need the information, and whether this "can link to the third-party claimant, since they were not a customer of the operator," as TELEFÓNICA claims, since the contrary could frustrate the investigation, in addition to the confidentiality that the AEPD must maintain in this regard while exercising its inspection functions.

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Additionally, TELEFÓNICA insists that this Agency lacks the authority to request the required information as it falls outside the scope of data protection, arguing that the powers outlined in Article 58 of the GDPR are limited to the functions of Article 57 of the GDPR and specifically cites the function of "monitoring the application of this Regulation," according to Article 57.1.a). It is worth recalling, in this regard, subsection h) of the same Article 57.1, which includes the function of "conducting investigations into the application of this Regulation," as well as the fact that information was requested from TELEFÓNICA within the framework of the investigative actions of file number EXP202205067.

In this respect, it is clarified that the investigative actions of the aforementioned file are initiated to clarify the circumstances relevant to the complaint received, which highlights the alleged infringement of various articles of the GDPR in the processing of the bank account number of the individual complainant. Such processing falls within the material scope of the GDPR, as it involves total or partial automated processing of personal data, or non-automated processing of personal data contained in or intended to be included in a file.

Regarding the argument that in this case the bank account would not fall within the definition of personal data as defined by Article 4 of the GDPR because the individual is not identifiable to TELEFÓNICA, the National Court has had no doubt in affirming that the bank account is personal data in the Judgment of the First Section of the Administrative Litigation Chamber of the National Court dated November 3, 2015, rec. 333/2014. It thus reflects the established doctrine of the Court in its Legal Basis Two in the following terms (the underlining is ours):

"To this, the plaintiff alleges a lack of typicity, since Article 4.3 of the LOPD is not infringed, given that the bank account number does not constitute personal data. It adds that this data does not allow for the identification of the holder unless it is associated with their name and surname, and that the invoices only contained the twenty digits of the complainant's bank account but not their name. (...) Contrary to what the plaintiff has asserted, it is undoubted that the bank account number of an

individual constitutes personal data, as has been repeatedly understood by the Chamber (see, among others, judgment of January 30, 2014, appeal 554/2012), under the concept of personal data provided by Article 3.a) of the LOPD, defined as "any information concerning identified or identifiable individuals." To which Article 5.1.f) of Royal Decree 1720/2007, of December 21, which approves the Regulation for the development of the LOPD (RLOPD), adds that personal data constitutes "any numerical, alphabetical, graphic, photographic, acoustic, or any other type of information concerning identified or identifiable individuals," in clear alignment with Article 2.a) of Directive 95/46/EC of the Parliament and the Council, of October 24, 1995, regarding the Protection of Individuals with regard to the processing of personal data and the free movement of such data.

Although the LOPD does not define what should be understood as an identifiable individual, such a concept is delineated in Directive 95/46/EC of the Parliament and the Council, of October 24, 1995.

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October 1995, regarding the Protection of Individuals with regard to the processing of personal data and the free movement of such data, whose Article 2.a) states that any person whose identity can be determined, directly or indirectly, in particular by means of an identification number or one or several specific elements characteristic of their physical, physiological, or psychological identity, shall be considered identifiable. Likewise, Recital 26) of the aforementioned directive indicates that to determine whether a person is identifiable, one must consider the set of means that may reasonably be used by the data controller or by any other person to identify the data subject.

In line with this, Article 5.1, paragraph o) of the RLOPD defines "identifiable person" as "any person whose identity can be determined, directly or indirectly, by any information related to their physical, physiological, psychological, economic, cultural, or social identity. A natural person shall not be considered identifiable if such identification requires disproportionate time or activities."

In the case at hand, the data from the bank account has identified the complainant who suffered several charges on the bank account held in their name, being identified both by the bank, which receives such personal data from the complainant for the collection of an invoice, and by the charges made to the aforementioned account, without the complainant having authorized such collection.

Therefore, the processing of the bank account data for the collection of a specific invoice, through its incorporation into the files of the complainant and subsequently to such invoice, and through its submission to the corresponding banking entity for collection from such account, constitutes processing of personal data, as it allows for the effortless identification of the person holding the mentioned data, the complainant, as has occurred here.

The assertion made is not undermined by the fact that the name and surname or the ID number of the complainant were not included in the invoices issued and the receipts directed to the banking entity, as this does not deprive the bank account data of being considered personal data of the complainant, which is why it falls within the scope of application of the LOPD, pursuant to Article 2 of the same.

Undoubtedly, therefore, the bank account number is a data associated with the identity of a specific, perfectly identifiable person, its holder, and must be considered personal data for the purposes of applying the Organic Law on Data Protection.

It is also reiterated that Article 58.a) and e) of the GDPR empowers this Agency to "order the controller and the processor and, where appropriate, the representative of the controller or the processor, to provide any information required for the performance of its functions" and to "obtain from the controller and the processor access to all personal data and all information necessary for the exercise of its functions." Therefore, ultimately, whether the bank account is or is not personal data for the investigated party is irrelevant for determining the infringement for which this sanctioning procedure is being instructed.

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Regarding TELEFÓNICA's explanation that it did not indicate until the phase of allegations to the initiation agreement of the present sanctioning procedure that it did not have the initial contract because it had not been requested to provide it, and therefore could not be held responsible for a delay that resulted in the filing of the investigation proceedings of EXP202205067, it is made clear that the delay was not due to the non-provision of said contract but to TELEFÓNICA's failure to justify before the initiation of the present sanctioning procedure that it could not adequately respond to the information requests from this Agency, as developed in the response to the allegations to the initiation agreement.

On the other hand, TELEFÓNICA states that the principle of typicity is being violated, given that its conduct is not subsumable under any of the provisions whose infringement is imputed. However, the typical fact is that referred to from the initiation agreement, consisting of failing to provide the requested information in response to the information requests it received. As stated in the section of Proven Facts, TELEFÓNICA has responded on three occasions to this Agency that it "understands that, in accordance with applicable regulations, as it is a legal entity that would be outside the scope of application of data protection legislation, the requested information is not provided." Subsequently, TELEFÓNICA responded to two other requests stating that SERVIGUIT SERVICIOS 1970, S.L. requested the activation of the service and that it had associated the bank account belonging to the claimant for the billing address of its TELEFÓNICA receipts between the date of activation of the service, October 19, 2021, and February 10, 2022, at which point it modified it for a new bank account. Thus, in none of them does TELEFÓNICA provide the information for which it is required: whether SERVIGUIT SERVICIOS 1970, S.L. provided or did not provide the account number belonging to the claimant for the direct debit of the payments for its telephone line.

If TELEFÓNICA had responded completely, this Agency would not have had to reiterate its information requests and could have pursued other lines of investigation to obtain the information it needed.

It is noted that TELEFÓNICA claimed it could not provide the requested information because it "could not locate the initial contract signed by the company in question" after the resolution of the filing of proceedings of EXP202205067.

Regarding the alleged violation of the principle of proportionality raised by TELEFÓNICA, as this Agency takes into account, it states, aggravating circumstances and none of the mitigating circumstances indicated in the allegations to the initiation agreement, and without considering that we are dealing with a specific and exceptional case, in addition to what has already been responded to regarding this in the previous Legal Basis, the following is noted.

As established by Article 83 of the GDPR, each supervisory authority must ensure that the fines imposed are effective, proportionate, and dissuasive in each individual case. Therefore, the amount of the fine is determined by considering all the circumstances of the case, verifying that the amount of the fine is proportional both to the severity of the infringement and to the size of the company to which the fine is imposed.

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entity that committed the infringement, and that the imposed fine does not exceed what is necessary to achieve the objectives pursued by the GDPR.

Regarding the infringing conduct, the GDPR does not provide for a minimum fine; it only establishes maximum amounts in Article 83, paragraphs 4 to 6, which group various types of different conduct. In this respect, it is noted that the specific infringement is classified under Article 83.5 of the GDPR, thus falling within the category of more serious infringements that carry a higher sanction range.

Furthermore, the severity of the infringement must be noted in accordance with Article 83.2.a), due to its nature, given the protected interests and its place within the framework of data protection. By failing to provide an adequate response to the information request made, the investigative powers granted to

the supervisory authorities by the GDPR are disobeyed, thereby obstructing the control function assigned to them by the GDPR, preventing the effective supervision of the application of the GDPR and the achievement of its objectives. Additionally, the company's turnover, as evidenced in the facts of the initiation agreement of this procedure, is taken into account as a relevant element for imposing an effective, deterrent, and proportionate fine, in accordance with Article 83, paragraph 1, of the GDPR.

In this same vein, case law speaks to the principle of proportionality, a principle “fundamental to the process of calibrating sanctions and implies, in legal terms, 'its adequacy to the severity of the act constituting the infringement' as provided in Article 29.3 of Law 40/2015, on the Legal Regime of the Public Sector, given that every sanction must be determined in congruence with the nature of the infringement committed and according to a criterion of proportionality in relation to the circumstances of the act.” (Judgments of the Supreme Court of December 3, 2008 (rec. 6602/2004) and April 12, 2012 (rec. 5149/2009) and Judgment of the National Court of May 5, 2021 (rec. 1437/2020), among others).

Thus, the Judgment of the Third Chamber of the Supreme Court, dated May 27, 2003 (rec. 3725/1999), indicates that “Proportionality, specifically belonging to the field of sanctions, constitutes one of the principles governing in Administrative Law sanctioning, and represents a control instrument for the exercise of the sanctioning power by the Administration within, even, the margins that, in principle, the applicable norm indicates for such exercise. It certainly involves a concept that is difficult to determine a priori, but which tends to adjust the sanction, by establishing its specific gradation within the indicated possible margins, to the severity of the act constituting the infringement, both in its aspect of unlawfulness and culpability, weighing in its entirety the objective and subjective circumstances that integrate the factual basis for sanctionable acts (...)”

We can also cite for this purpose the Judgment of the Supreme Court 713/2019, of May 29 (rec. 1857/2018): “We will begin by noting that the proportionality of sanctions implies that they are tempered to the particularized severity of the act in conjunction with the circumstances of a subjective nature (referring to the infringer) and objective nature (referring to the typical act), noting that in the field of administrative sanctioning law in general and in the field of the securities market in particular, there are no criteria for dosimetry similar to those set forth in Article.

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66 of the Penal Code and that the modifying circumstances differ from those in the criminal sphere. Let us remember that the automatic application, without any nuances, of the guiding principles of criminal law to the administrative sanctioning procedure is not permissible (S.TS 6-10-2003 Rec.772/1998).”

The Guidelines 04/2022 of the European Data Protection Committee on the calculation of administrative fines under the GDPR, in their version of May 12, 2022, submitted for public consultation, indicate that “Regarding the assessment of these elements, increases or decreases in a fine cannot be determined in advance through tables or percentages. It is reiterated that the actual quantification of the fine will depend on all the elements collected during the investigation and other considerations related to the previous experiences of the supervisory authority regarding fines.”

In application of all the above, the Agreement to initiate the present sanctioning procedure already indicated and duly explained the circumstances that were taken into account for the provisional quantification of the sanction as a whole, which is duly justified.

Regarding the aggravating factor of “the evident link between the business activity of the respondent and the processing of personal data of clients or third parties,” TELEFÓNICA claims that this aggravating factor cannot be considered to apply, to the extent that, it says, there has been no lack of attention or obstruction of the investigative powers of the Agency.

While this justification is not shared, for all the reasons repeatedly stated, this Agency understands that the aforementioned aggravating factor should not apply to this specific case, as what is being imputed to TELEFÓNICA is the lack of an adequate response to the information requests made, which do not

relate, per se, and in this specific case, to the processing of personal data that it ordinarily carries out, nor do they affect the seriousness of the infringement. We do not find ourselves, as in other cases, with an infringement of the GDPR in relation to certain activities of processing, where the link of the offender with the activity carried out has an impact on the grading. Therefore, this circumstance should no longer be considered as an aggravating factor and its corresponding impact on the proposed fine should be eliminated. And all this without implying a change of criteria from that ordinarily maintained by this Agency, but rather an adaptation of the same to the concurrent circumstances in the specific case examined, to the established facts, and to the infringement committed.

Regarding the mitigating factor of “adherence to codes of conduct under Article 40 or to certification mechanisms approved under Article 42,” it should be noted that although, as indicated on this Agency's website, Codes of Conduct will be taken into account for the determination of sanctions, it is necessary to evaluate each specific case.

In this regard, the aforementioned Guidelines 04/2022 on the calculation of fines under the GDPR state that “105. As recalled in the Guidelines WP253, adherence to codes of conduct in accordance with Article 40 of the...

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GDPR or approved certification mechanisms in accordance with Article 42 of the GDPR may, in some circumstances, constitute a mitigating factor.” However, in these same Guidelines, it is pointed out that “106. On the other hand, if the non-compliance with the codes of conduct or certification is directly relevant to the infringement, the supervisory authority may consider this to be an aggravating circumstance.” Therefore, it can be concluded that for adherence to codes of conduct under Article 40 or to approved certification mechanisms under Article 42 to be used as a mitigating factor, similarly, being adhered to a code of conduct must be directly relevant to the infringement, which, as already stated in the previous Recital, does not occur in the present procedure. Finally, it is clarified that this Agency has not considered the absence of benefits obtained from the infringement as a mitigating factor, as TELEFÓNICA intended, which does not mean that it has been taken as an aggravating circumstance. For all the above, the request of TELEFÓNICA regarding the non-existence of liability and the filing of this sanctioning file cannot be accepted, nor can the reduction of the initially proposed sanction based on the indicated mitigating factors. It is deemed appropriate to cease applying the aggravating factor of Article 76.2.b) of the LOPDGDD in accordance with the provisions of Article 83.2.k) of the GDPR, due to “the evident link between the business activity of the defendant and the processing of personal data of clients or third parties” and, therefore, its corresponding impact on the sanction is eliminated, reducing the proposed amount.

IV

Unfulfilled obligation

In accordance with the available evidence, it is considered that TELEFÓNICA has not provided the Spanish Agency for Data Protection with the information it requested. With the indicated conduct of TELEFÓNICA, the investigative power that Article 58.1 of the GDPR confers on supervisory authorities, in this case, the AEPD, has been obstructed. Therefore, the facts described in the section “Proven Facts” are deemed to constitute an infringement, attributable to TELEFÓNICA, for violation of Article 58.1 of the GDPR, which states that each supervisory authority shall have, among its investigative powers:

“a) to order the controller and the processor and, where applicable, the representative of the controller or the processor, to provide any information required for the performance of its functions; b) to carry out investigations in the form of data protection audits; c) to carry out a review of the certifications issued under Article 42, paragraph 7; d) to notify the controller or the processor of the alleged infringements of this Regulation; e) to obtain from the controller and the processor access to all personal data and all information necessary for the exercise of its functions; f) to obtain access to all premises of the controller and the processor, including any equipment and means of processing data,

in accordance with the procedural law of the Union or of the Member States.”

V

Classification and qualification of the infringement

In accordance with the available evidence, it is considered that the facts presented could constitute an infringement, attributable to TELEFÓNICA. This infringement is classified under Article 83.5.e) of the GDPR, which considers as such: “not providing access in violation of Article 58, paragraph 1.” The same article establishes that this infringement may be sanctioned with a fine of twenty million euros (€20,000,000) at most or, in the case of a company, an amount equivalent to four percent (4%) at most of the total annual global turnover of the previous financial year, opting for the higher amount. For the purposes of the statute of limitations for infringements, the infringement attributed prescribes after three years, in accordance with Article 72.1 of the LOPDGDD, which qualifies the following conduct as very serious:

“ñ) Not providing access to the personnel of the competent data protection authority to the personal data, information, premises, equipment, and means of processing that are required by the data protection authority for the exercise of its investigative powers.

o) The resistance or obstruction of the exercise of the inspection function by the competent data protection authority.”

VI

Imposed sanction

The fine imposed must be, in each individual case, effective, proportionate, and dissuasive, in accordance with the provisions of Article 83.1 of the GDPR. Consequently, the sanction to be imposed must be graduated according to the criteria established in Article 83.2 of the GDPR, and with the provisions of Article 76 of the LOPDGDD, regarding paragraph k) of the aforementioned Article 83.2 GDPR. In light of the facts presented, it is considered appropriate to impose a sanction on TELEFÓNICA for the violation of Article 58.1 of the GDPR classified under Article 83.5.e) of the GDPR. The sanction that would correspond to be imposed is an administrative fine of €90,000.00. It is noted that no mitigating factor applies, and the following facts have been considered as aggravating:

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- Art. 83.2 b) GDPR: the intent or negligence in the infringement. TELEFÓNICA is aware of the actions that this Agency is taking to clarify the facts subject to the complaint upon receiving successive requests and information requirements, and despite this knowledge, intentionally or negligently, omits in its response the required information regarding whether SERVIGUIT SERVICIOS 1970, S.L. provided or did not provide the account number for direct debit of the payments for its telephone line. Additionally, it is a large company, so it should have established procedures for compliance with the obligations set forth in data protection regulations, including responding to requests from the supervisory authority.

Therefore, in accordance with the applicable legislation and considering the criteria for the graduation of sanctions whose existence has been established, the Director of the Spanish Agency for Data Protection RESOLVES:

FIRST: TO IMPOSE on TELEFÓNICA DE ESPAÑA, S.A.U., with NIF A82018474, a fine of 90,000.00 euros (NINETY THOUSAND euros) for an infringement of Article 58.1 of the GDPR, classified under Article 83.5 of the GDPR.

SECOND: TO NOTIFY this resolution to TELEFÓNICA DE ESPAÑA, S.A.U.

THIRD: This resolution will be enforceable once the period for filing the optional appeal for reinstatement (one month from the day following the notification of this resolution) has expired without the interested party having exercised this right. The sanctioned party is warned that it must pay the imposed sanction once this resolution is enforceable, in accordance with the provisions of art. 98.1.b) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter LPACAP), within the voluntary payment period established in art. 68 of the General

Collection Regulation, approved by Royal Decree 939/2005, of July 29, in relation to art. 62 of Law 58/2003, of December 17, by making the payment, indicating the NIF of the sanctioned party and the procedure number that appears in the heading of this document, into the restricted account No. IBAN: ES00 0000 0000 0000 0000 0000 (BIC/SWIFT Code: XXXXXXXXXXXX), opened in the name of the Spanish Agency for Data Protection at the banking entity CAIXABANK, S.A. Otherwise, collection will proceed in the executive period.

Upon receipt of the notification and once enforceable, if the date of enforceability falls between the 1st and the 15th of each month, inclusive, the deadline for voluntary payment will be until the 20th of the following month or the next business day, and if it falls between the 16th and the last day of each month, inclusive, the payment deadline will be until the 5th of the second following month or the next business day.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative procedure in accordance with art. 48.6 of the LOPDGDD, and in accordance with the provisions of Article 123 of the LPACAP, the interested parties may optionally file an appeal for reinstatement before the Director of the Spanish Agency for Data Protection within one month from the day following the notification of this resolution or directly file a contentious-administrative appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and section 5 of the fourth additional provision of Law 29/1998, of July 13, regulating Contentious-Administrative Jurisdiction, within two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law.

Finally, it is noted that in accordance with the provisions of art. 90.3 a) of the LPACAP, the firm resolution in the administrative procedure may be provisionally suspended if the interested party expresses their intention to file a contentious-administrative appeal. If this is the case, the interested party must formally communicate this fact by writing to the Spanish Agency for Data Protection, submitting it through the Electronic Registry of the Agency

[<https://sedeagpd.gob.es/sede-electronica-web/>], or through any of the other registries provided for in art. 16.4 of the aforementioned Law 39/2015, of October 1. They must also provide the Agency with documentation that proves the effective filing of the contentious-administrative appeal. If the Agency is not aware of the filing of the contentious-administrative appeal within two months from the day following the notification of this resolution, the provisional suspension will be considered terminated.

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Mar España Martí

Director of the Spanish Agency for Data Protection

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